

BUS 719

Session 7

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PRME
Principles for Responsible
Management Education

Adaptation creates new problems that will have to be adapted to.

- Any “solution” to a problem of organizing will inevitably create a new problem
 - **Therefore the purpose of a generative change process is as much to increase the adaptive capacity of the organization as it is to solve “the problem”**
- Rather than searching for “the answer”, Generative Change searches for any answer that stakeholders will run with that moves the ball forward, secure in the knowledge that successful organizational change is a never-ending process of small wins that accumulate into large transformations
- All models of great organizations envision widespread engagement in inquiry. So in the process of using generative change to manage an adaptive challenge, we are creating better teams and organizations, which is the ultimate purpose of OD.

The Dialogic Revolution

Early Research Findings

Leader's Choices (N = 79 Org Change Cases)	N of cases	Success Rates	
Initiate and remain DIAGNOSTIC	49	33%	1/3 succeed

Source: Hastings & Schwarz (2022).

The Dialogic Revolution:

New Change Strategies Aligned with New Org Structures?

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Initiate DIALOGIC and oscillate with diagnostic	9	89%	
Initiate diagnostic and oscillate with DIALOGIC	14	93%	

Source: Hastings & Schwarz (2022).

Studies of Successful Planned Change

	Leaders Define the Changes
"Staff" lead the process	0% Success
Leaders lead the process	25% Success

Studies of Successful Planned Change

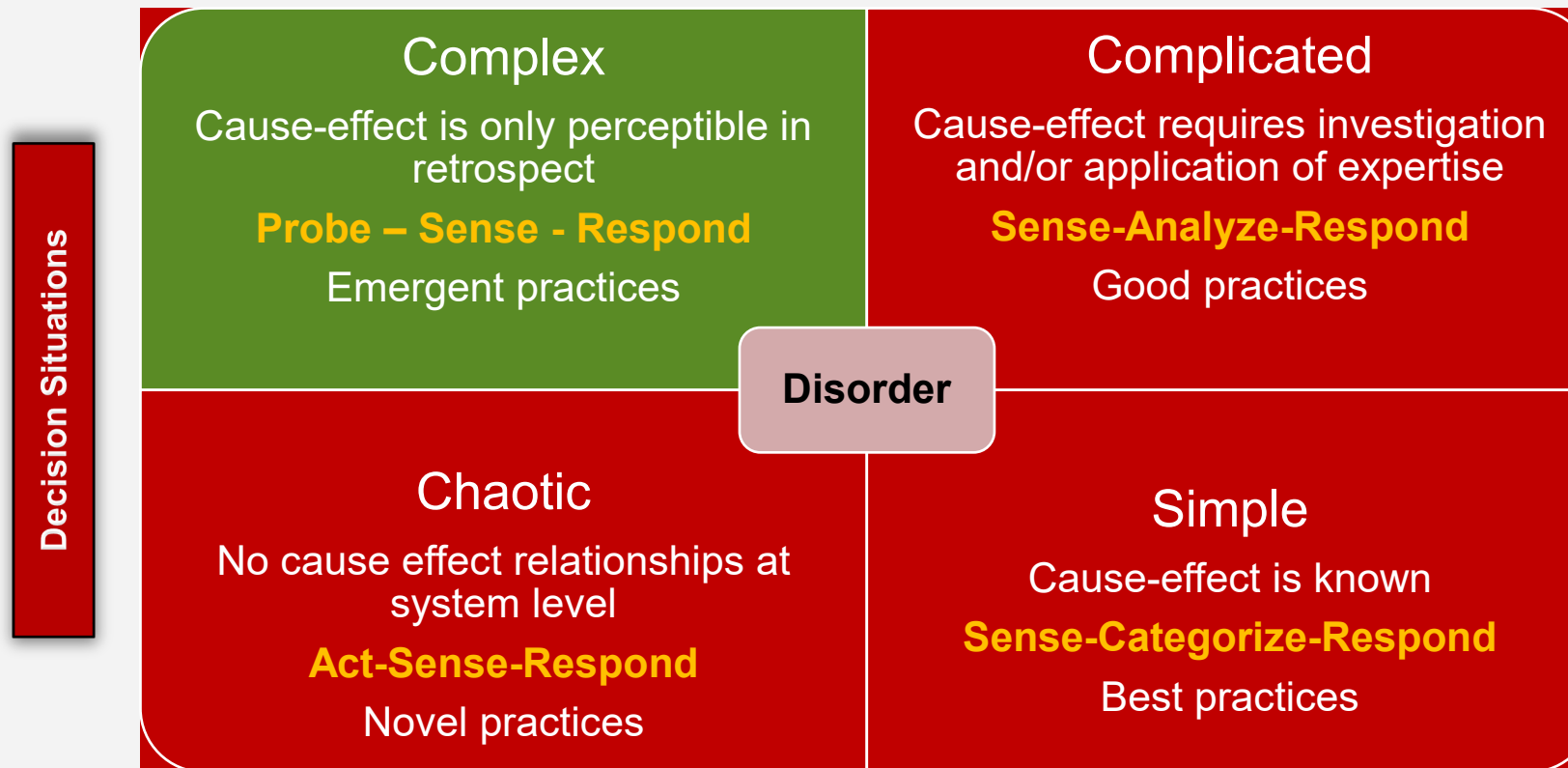
	Leaders Define the Changes	Stakeholders Define the Changes
“Staff” lead the process	0% Success	Conditional on Leadership’s “buy-in”
Leaders lead the process	25-30% Success	90% Success

Bushe & Nagaishi, 2018

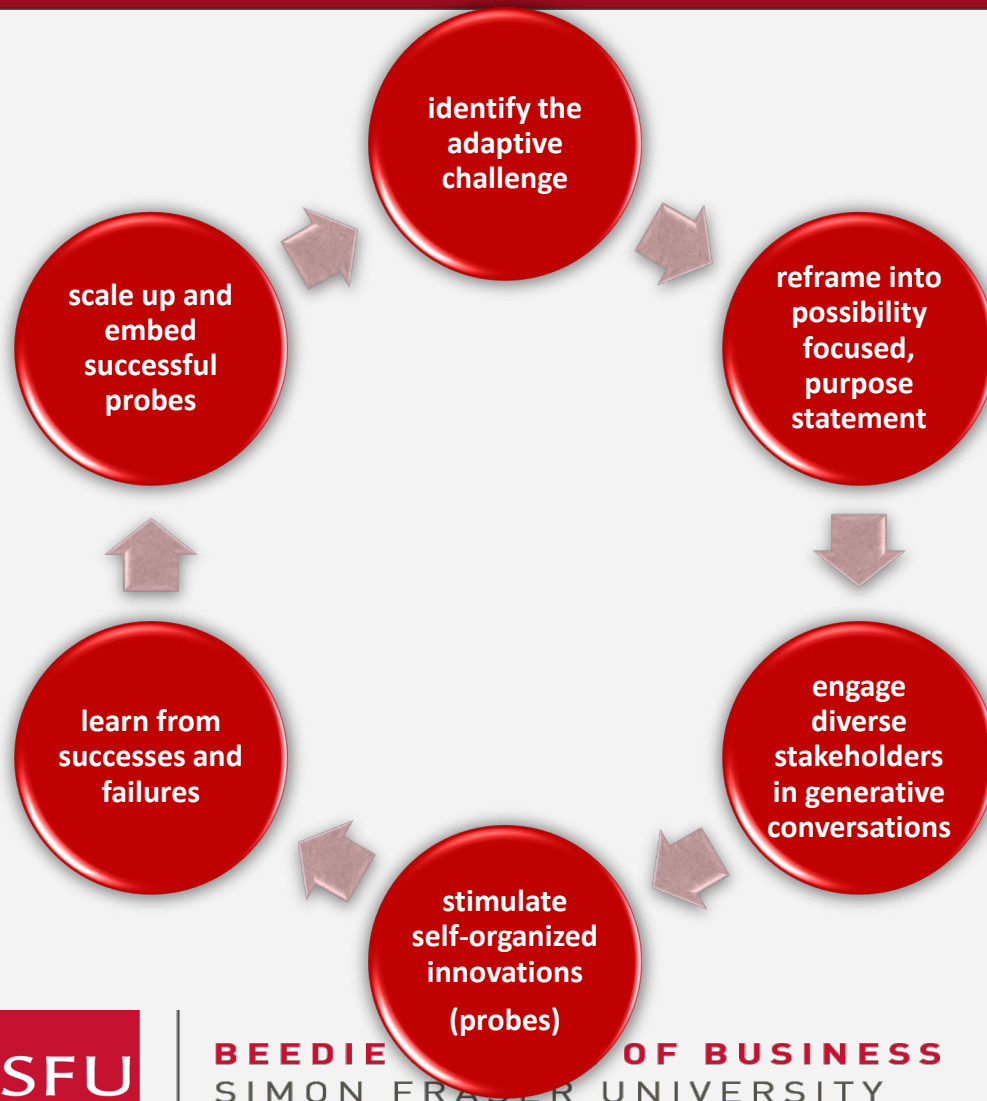
Positioning Generative Change

The Cynefin Model:

one example of emergent strategy reasoning



The Generative Change Model



- Focused on Complex ,Adaptive Challenges where no one knows what the “answer” is.
- Articulate a Purpose, not a Vision (Generative Image if possible)
- Invite a diversity of stakeholders into generative conversations (conversations that generate new ideas people want to act on)
- Encourage people to self-initiate action in pursuit of the purpose (within guardrails)
- Leaders track, nurture, amplify and embed promising innovations

Purpose makes successful use of generative change possible

- When people don't have a common purpose, they are more likely to self-organize in a way that supports their own individual or group's needs, wants, and agendas.
- When people have a common purpose, they are far more likely to self-organize in a way that supports the collective good.

Generative Change Processes Depend on Purposes Stakeholders Care About

- It is essential to reframe the adaptive challenge into a purpose statement that stakeholders care about.
- It is the purpose that will bring stakeholders into generative conversations.
- It is the purpose that will enable the development of cooperative actions across boundaries and the motivation to find and act on new ideas.
- Generative images are the most powerful kind of purpose.

Aspects	Leading Planned Change	Leading Generative Change
Approach:	Social engineering: Identify problem and desired change, analyze required interventions, direct implementation	Social innovation: Identify desired outcome/purpose, engage stakeholders in ways to stimulate innovative possibilities, motivate and support stakeholders to innovate
Use when:	State of the art approaches and solutions exist. Leadership believes it has enough clarity about the situation to sanction a planned change effort	Beyond state-of-the-art approaches and solutions are needed. Leadership is uncertain about how to achieve agreement or specify solutions for the desired state.
Methods:	Scientific and engineering oriented - Analyze data - Problem-solving approaches	Social interaction (Dialogic) and social agreement oriented - Focus on desired futures - Possibility-inducing approaches
Change through:	Convergence on a solution and effective top-down implementation. Sense – Analyze – Respond	Generate many possible innovations, and effective top-down-bottom-up improvisation. Experiment – Learn – Amplify
Desired Outcomes:	Acceptance and implementation of changes that address problem(s) or achieve desired results as quickly as feasible.	Self-organizing adaptive actions and/or transformations that can be scaled up and embedded in timely ways
Role of Leaders:	Performance oriented and directive; front loaded effort Provide vision of desired future state Provide resources and clear roles and goals Provide/resource tools and techniques that will diagnose the real issues and provide practical solutions Accept or reject proposed solutions and direct others to implement	Possibility oriented and supportive; back end loaded effort Name the purpose that motivates stakeholders Provide resources and clear boundaries Provide/resource opportunities to strengthen the relationships and communications that will stimulate the emergence of adaptive actions people will self-implement Support, scale up and embed most promising innovations

Bushe, 2019

Why so uncommon?

- Despite almost 3 decades with hundreds of successful cases, and increasing academic research describing Dialogic OD processes as the most effective for complex situations, they are still seen as exotic by most executives.

WHY??

Perhaps it's because...

our image of leaders is that they are “visionaries”, and if they don't have a vision they are not leaders.

- Generative change is the opposite – it is not guided by a visionary leader, but instead by someone who says they don't know the answer, and pushes followers to confront anxiety provoking, complex issues.
- Others expect leaders to provide the solution, to tell them what to do, so leaders suck up the responsibility and others are happy to give it to them.
- We need a new story of *Generative Leadership* so that the boards they report to, and the employees who report to them, will understand why a great leader is NOT someone who decides what to change, but can identify what people are ready to work on changing, convene new conversations that launch probes and scale up what works.

Dialogic Conditions for Transformational Change

- ▶ Identify the adaptive challenge, acknowledging that emergent solutions are needed and holding off attempts to promote simplistic solutions.
- ▶ Disrupt prevailing social reality by adding diversity of ideas, questions, actors, processes, and so forth to the existing situation.
- ▶ Ensure stakeholders share a common identity or common purpose
- ▶ Create a “container” that provides the right ingredients and space for participants to inquire together, making room for both individual and collective expression through which old ways of thinking are contested, and new possibilities emerge.

- Emphasize generativity through confronting or re-framing prevailing ways of talking; supporting the coming together of a diversity of participants and their social realities; creating new images, language, or stories that open doors to new ways of conceiving of a situation; and so forth.
- Foster conditions that will lead to new ways of thinking and better outcomes amongst those who will have to “implement” change without a commitment to specific changes.
- Enrich social networks so that information and energy runs more freely, making it more likely that self-organizing at a new, more adaptive level of complexity will occur.
- Encourage self-organization and experimentation by those who will have to make the change happen, with leaders monitoring and supporting effective changes that emerge.

Prepare to Discuss

- If we shift our mental frame from organizational change as a discrete event with beginning, middle and end, to organizational change as continuous adaptation to unpredictable changes outside the organization's control....

What are the key differences in the kind of leadership that organizations will need if they are less about vision, planning and exploitation and more about adaptation, exploration and enacting possibilities?

From..... To.....

Prepare to Discuss: Lessons from Lockdown

- Do you know of any large (more than 500 employees) company that was able to rapidly and successfully adapt to the covid lockdown in 2020.
- How did they do that? Identify the key elements of the change process they used.

Prepare to discuss

- What are all the reasons a generative change strategy won't work?
- What questions would you like to ask Charlie Boyd?